

BEFORE THE
FEDERAL MARITIME COMMISSION

Docket No. 21-04

Greatway Logistics Group, LLC
Complainant

v.

Ocean Network Express, Pte., Ltd.,
Respondent.

**GREATWAY LOGISTICS GROUP, LLC.’S OPPOSITION TO OCEAN NETWORK
EXPRESS, PTE. LTD.’S MOTION TO STAY THIS PROCEEDING OR,
ALTERNATIVELY, MOTION FOR ADDITIONAL TIME**

Complainant Greatway Logistics Group, LLC (“Greatway”), by and through its undersigned counsel, respectfully moves the Presiding Officer to deny Respondent Ocean Network Express, Pte., Ltd.’s (“ONE”) motion for an order staying this proceeding, including the Bureau of Enforcement’s (“BOE”) Motion for Leave to Intervene, pending the adjudication of Greatway’s motion for reconsideration of the district court’s order dismissing its counterclaim for attorney’s fees with prejudice in Civil Action No. 4:20-CV-1734 *Ocean Network Express Pte. Ltd. v. Pacific Lumber Resources, Inc. et al.*, in the United States District Court for the Southern District of Texas, Houston Division (the “District Court Litigation”).

BACKGROUND

On May 18, 2020, ONE sued Pacific Lumber Resources, Inc., South Service Trading S.A., Greatway Logistics Group, LLC, Evolution Comercial Exportadora, Ltda., AGL Transportes Internacionais Ltda-EPP, and AGL Cargo LLC in the United States District Court for the Southern District of Texas, Houston Division, seeking to recover demurrage, storage and freight charges arising from two bills of lading for ocean transport of pine plywood from Brazil to the United States. On August 12, 2020, ONE filed its First Amended Complaint. Greatway filed its answer to the First Amended Complaint on October 22, 2020. Greatway pleaded only one counterclaim: “To

the extent there is a contractual or statutory right to attorney fees, Greatway affirmatively pleads a counterclaim for its attorney fees and costs arising thereunder.”

Thereafter, Greatway participated in the discovery process. Greatway attended the Court-ordered mediation on April 22, 2021. For the month following the mediation, Greatway and ONE engaged in further settlement negotiations. On May 25, 2021, the settlement discussion failed. At 5:02 p.m. EST, May 25, 2021, Greatway filed its complaint against ONE for violation of the Shipping Act before this Commission. At 6:14 p.m. EST, May 25, 2021, ONE filed a motion to dismiss Greatway and its counterclaims in the district court. Pursuant to Southern District of Texas Local Rule 7.3, Greatway should have been allowed 21 days to answer ONE’s motion to dismiss. The court granted ONE’s motion the very next day, May 26, 2021, dismissing Greatway from ONE’s claims, and most importantly, dismissing ONE’s counterclaim with prejudice, without giving Greatway the requisite amount of time to respond to ONE’s motion.

Greatway filed a motion for reconsideration on May 28, 2021, asking the Court to vacate its order dismissing Greatway’s counterclaim with prejudice and to dismiss the counterclaim without prejudice. ONE filed its response in opposition to the Motion for Reconsideration on June 18, 2021. Greatway’s reply to ONE’s response in opposition to Greatway’s motion for reconsideration was filed on June 23, 2021. ONE filed for leave to file a sur-reply and its sur-reply on June 24, 2021. At 3:12 p.m. EST, June 25, 2021, ONE filed a Motion to Stay in the instant proceeding.

At 4:48 p.m. EST, June 25, 2021, the district court issued an order (*FMC Doc. no. 9, Exhibit A*) stating it would reconsider whether to vacate or alter its prior order dismissing Greatway’s counterclaims. On June 30, 2021, Greatway filed a motion to stay judgment on ONE’s motion to

dismiss and further proceedings, pending resolution of the matter presently pending before this Commission (*Exhibit 1*).

ARGUMENT AND AUTHORITIES

Although the Federal Maritime Commission may grant a request to stay a proceeding, the burden to show the need for the stay falls on the movant. *General Motors LLC v. Nippon Yusen Kabushiki Kaisha, Wallenius Wilhelmsen Logistics AS, and Eukor Car Carriers Inc.*, FMC Docket No. 15-08, 2016 FMC Lexis 2 (January 5, 2016 Order) at *3. In *Landis*, Justice Cardozo recognized that the authority of a court to stay proceedings derives from the “power inherent in every court to control the disposition of the causes on its docket with economy of time and effort.” *Landis v. N. Am. Co.*, 299 U.S. 248, 254-55, 57 S. Ct. 163, 166 (1936).

If Respondent’s motion to stay is denied and the instant proceedings continue to follow their natural course, the rights and interests of Respondent remain intact. In the District Court Litigation, Respondent moved to voluntarily dismiss Greatway from the lawsuit. The district court judge granted the motion on May 26, 2021, and Greatway’s motion for reconsideration only pertains to the dismissal of its counterclaim with prejudice.

Furthermore, the actions are not duplicative in nature and the denial of a stay in this case will not adversely impact judicial economy or efficiency. The issuance of a stay in this proceeding would only serve to draw out this proceeding. While Respondent is a large, multinational corporation with presumably vast resources and counsel at its disposal, Greatway is a small business that has been unjustly burdened by unfounded and lengthy District Court Litigation.

The factors cited by Respondent are the factors established to determine whether a stay in a federal proceeding is warranted when there is a similar matter pending before a state court, not another federal court. *Profile Manufacturing, Inc. v. Ronald Kress*, 1994 U.S. App. LEXIS 6048,

at *7 (Fed. Cir. 1994); *VerTerra Ltd. v. D.B. Group America Ltd. and DB Group India Ltd*, FMC Docket No. 19-09 (March 5, 2020) at p. 5. Nonetheless, in case the honorable administrative judge considers these factors relevant to the instant proceeding, Greatway will address each factor for the sake of completeness after first establishing that the actions are not duplicative.

I. THE ACTIONS ARE NOT DUPLICATIVE

Respondent's motion appears to suggest the actions before the district court and this Commission arise from the same set of facts and are duplicative. This is a mischaracterization of the claim at issue. The claim currently before this Commission is in no way duplicative of the claim at issue in the District Court litigation. While true that both Greatway and ONE are parties to the District Court litigation, the case before the district court involves two claims of breach of contract arising from two bills of lading to which Greatway was not a party. The complaint in this action before the FMC addresses only specific violations of the Shipping Act and raises no contractual claims arising from those bills of lading.

Respondent claims Greatway "seeks a second bite at the apple," however, the set of facts that serve to bolster Greatway's complaints, as well as the legal causes of action themselves, are distinct from those in the District Court Litigation. (*Resp. Mot. to Stay*, p. 3).

II. ANALYSIS OF THE FACTORS

A. Which Court First Assumed Jurisdiction

Greatway agrees that the district court properly assumed jurisdiction over its breach of contract claims arising from two bills of lading. However, Respondent states that "Greatway never challenged the district court's jurisdiction, and only raised a reference to the Shipping Act and/or the FMC in its motion for reconsideration." (*Id.*, at p. 6). This is because Greatway does not dispute the district court's jurisdiction to rule on ONE's contractual claims governed by COGSA.

Greatway only contests the district court's jurisdiction as it pertains to its jurisdiction to dismiss Greatway's counterclaim for attorney's fees and costs arising under any contractual or statutory right to such fees with prejudice.

There is no need to stay these proceedings pending the resolution of the District Court Litigation. The district court asserted jurisdiction over the COGSA-governed breach of contract claims, not the Shipping Act violations cited in this matter. The FMC has previously held that the Commission has exclusive jurisdiction to administer and enforce the Shipping Act, regardless of the outcome in a federal district court case. *Baltic Auto Shipping, Inc. v Michael Hitrinov A/K/A Michael Khitrinov, Empire United Lines Co., Inc.*, FMC Docket No. 14-16 (February 2, 2015 Order) at p. 5. This factor weighs in favor of the denial of Respondent's motion.

B. The Inconvenience of the Forum

Even Respondent acknowledges that the Federal Maritime Commission is not an inconvenient forum. Greatway agrees. This factor weighs against Respondent's motion to stay.

C. The Desirability of Avoiding Piecemeal Litigation

Piecemeal litigation is said to occur "when different tribunals consider the same issue, thereby duplicating efforts and possibly reaching different results." *Am. Int'l Underwriters (Philippines), Inc. v. Cont'l Ins. Co.*, 843 F.2d 1253, 1258 (9th Cir. 1988). In the instant proceeding, the two suits do not arise out of the same transactional nucleus of facts. The District Court Litigation arises from breach of contract claims related to two bills of lading issued by ONE. Greatway did not appear anywhere on one of the bills of lading and was listed merely as the notify party on the other. Actions taken by Respondent over the course of the District Court Litigation are what give rise to the Shipping Act violation claims specified in Greatway's complaint currently pending before this Commission. The facts that give rise to the claims in the instant proceeding

are related to the District Court Litigation itself, not the facts that gave rise to the claims contained therein. Hence, the two suits involve infringement of distinct contractual and statutory rights. This factor weighs against Respondent's motion to stay.

D. What Law Provides the Rule of Decision on the Merits

Here there can be no doubt. Greatway's complaint in the instant proceeding involves specific violations of the 46 U.S.C. § 41102(c) and 46 U.S.C. § 41104(a)(4)(E) of the Shipping Act. The FMC has exclusive jurisdiction to administer Shipping Act claims. *See Maritrend, Inc. v. Galveston Wharves*, 152 F.R.D. 543, 548 (S.D. Tex. 1993). Again, Respondent's motion mischaracterizes the claim before this Commission. Greatway does not now come before this Commission to seek attorney's fees from the District Court Litigation in an entirely different forum. Rather, Greatway alleges violations of the Shipping Act that occurred in the District Court Litigation and seeks to recover the actual economic injury incurred as a result of those violations, in addition to any costs and attorney's fees arising from this proceeding. This factor also weighs heavily against the motion to stay.

E. The Adequacy of the Fora to Protect the Parties' Rights

Respondent states that the adequacy of the fora is neutral. (*Resp. Mot. to Stay*, p. 7). Greatway disagrees. A forum is considered adequate "if it provides [. . .] a fair hearing to obtain some remedy" for the subject matter of the dispute." *Stroitelstvo Bulg. Ltd. v. Bulgarian-American Enter. Fund*, 589 F.3d 417, 421 (7th Cir. 2009). In this case, since the district court does not have jurisdiction to administer Shipping Act claims, it seems clear that the Federal Maritime Commission is the only adequate forum. This factor weighs against the stay.

F. Whether One of the Actions Has a Vexatious or Reactive Nature

Greatway's FMC complaint is neither vexatious nor reactive in nature. Greatway only filed the complaint after attending court-ordered mediation and attempting settlement negotiations in the District Court Litigation. When settlement negotiations failed, Greatway filed its complaint before this Commission. Greatway's filing of this complaint occurred prior to Respondent's motion to dismiss Greatway and its counterclaims in the district court.

Moreover, Greatway reiterates once more that the facts and law set forth in its complaint are not duplicative of those presented in the District Court Litigation. Over the course of the District Court Litigation, Respondent's actions violated the specified sections of the Shipping Act. As a result, Greatway brought its complaint to this Commission, the body granted exclusive jurisdiction by Congress to adjudicate Greatway's claims. This factor does not support the motion to stay.

CONCLUSION

For all of the foregoing reasons, Complainant Greatway Logistics Group, LLC, respectfully requests that the Presiding Officer deny Respondent's motion to stay.

DATED: July 2, 2021

Respectfully submitted,

THE MOONEY LAW FIRM, LLC

/s/ Shanshan Liang

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CERTIFICATE OF SERVICE

I certify that on the 2nd day of July, 2021, a true and correct copy of the foregoing document was served on all counsel of record in accordance with 46 CFR Part 502.

/s/ Shanshan Liang
Shanshan Liang, Esq.

EXHIBIT 1

storage, and freight charges arising from two bills of lading for ocean transport of pine plywood from Brazil to the United States. On August 12, 2020, ONE filed its First Amended Complaint (Dkt. 20). Greatway filed its answer to the First Amended Complaint on October 22, 2020 (Dkt. 46). Greatway pleaded only one counterclaim: “To the extent there is a contractual or statutory right to attorney fees, Greatway affirmatively pleads a counterclaim for its attorney fees and costs arising thereunder.” (Dkt. 46).

Thereafter, Greatway participated in the discovery process. Greatway attended the Court-ordered mediation on April 22, 2021. For the month following the mediation, Greatway and ONE engaged in further settlement negotiations. On May 25, 2021, the settlement discussion failed. At 5:02 p.m. EST, May 25, 2021, Greatway filed its complaint against ONE for violation of the Shipping Act with the FMC. A copy of the FMC Complaint and the filing proof of it are attached as Exhibit 1. At 6:14 p.m. EST, May 25, 2021, ONE filed a motion to dismiss Greatway and its counterclaims (Dkt. 66). Pursuant to Southern District of Texas Local Rule 7.3, Greatway should have answered ONE’s motion to dismiss on or before June 15, 2021. The Court granted ONE’s motion the very next day, dismissing Greatway from ONE’s claims, and most importantly, dismissing ONE’s counterclaims with prejudice, without giving Greatway the requisite amount of time to respond to ONE’s motion. (Dkt. 67).

Greatway filed a motion for reconsideration on May 28, 2021, asking the Court to vacate its order dismissing Greatway’s counterclaims with prejudice. (Dkt. 68). ONE filed its response in opposition to the Motion for Reconsideration on June 18, 2021. (Dkt. 69). Greatway’s reply to ONE’s response in opposition to Greatway’s motion for reconsideration was filed on June 23, 2021. (Dkt. 70). ONE filed for leave to file a sur-reply (Dkt. 71) and its sur-reply (Dkt. 71-1) on June 24, 2021. At 3:12 p.m. EST, June 25, 2021, ONE filed a Motion to Stay in the FMC

proceeding. Greatway intends to file a response in opposition to ONE's Motion to Stay in the FMC proceeding.

At 4:48 p.m. EST, June 25, 2021, this Court issued an order to reconsider whether to vacate or alter its prior order dismissing Greatway's counterclaims. (Dkt. 72). Pursuant to the Court's Order, Greatway must file a brief responding to ONE's motion to dismiss Greatway and its counterclaims no later than July 9, 2021 and ONE must respond no later than July 23, 2021.

II. LEGAL STANDARD

The Federal Rules of Civil Procedure do not expressly provide for a stay of proceedings pending related administrative proceedings. However, it is well established that a district court's authority to issue a stay is "incidental to the power inherent in every court to control the disposition of the causes on its docket with economy of time and effort for itself, for counsel, and for litigants." Landis v. N. Am. Co., 299 U.S. 248, 254, 57 S. Ct. 163, 166 (1936); see also Sullivan v. Feldman, No. H-20-2236, 2020 U.S. Dist. LEXIS 227774, at *18 (S.D. Tex. 2020). In exercising its judgment, the court must weigh competing interests, ensuring an even balance. Landis, 299 U.S. 248, 254, 57 S. Ct., at 254-55. Among the competing interests the district court must weigh are (1) judicial economy and efficiency; (2) the hardship to the moving party if the stay is denied; and (3) the potential prejudice to plaintiffs. Coker v. Select Energy Servs., LLC, 161 F. Supp. 3d 492, 495 (S.D. Tex. 2015).

III. ARGUMENTS

A. JUDICIAL ECONOMY AND EFFICIENCY

A stay pending resolution of the complaint before the FMC is consistent with the public interest of judicial economy and efficiency. Gollis v. Garrett, 819 F. Supp. 446, 450 (E.D. Pa. 1993)(granting a stay pending related administrative proceedings in the interest of judicial

economy). A moderate stay to the proceedings will free up judicial resources without any unfair prejudice or burden on the other party.

Greatway's motion for reconsideration requests that the Court reconsider its initial order and dismiss Greatway's counterclaims without prejudice. Greatway filed a complaint before the FMC as a result of ONE's violations of the Shipping Act related to this lawsuit. The complaint is currently pending adjudication by the FMC.

Greatway is likely to succeed on the merits in its Complaint before the FMC in light of ONE's violations of the Shipping Act. FMC's Bureau of Enforcement ("BOE") has filed a motion to intervene, which we believe will likely be granted by the honorable administrative law judge. BOE's motion to intervene is attached as Exhibit 2. ONE's unjust and unreasonable practices of pursuing a non-party to the bills of lading to recover freight/demurrage/storage costs and its adjustments of its claims against foreign shippers to zero while maintaining its lawsuit against Greatway are clear violations of 46 U.S.C. § 41102(c) and § 41104(a)(4)(E).

Staying this proceeding and letting the FMC rule on the merits of Greatway's complaint promotes judicial economy and efficiency. First, the merits of Greatway's FMC complaint should be decided by FMC. Buchanan v. Fowler, 381 F.2d 7, 8 (5th Cir. 1967)(holding that factual disputes arising under the Shipping Act fall within the primary jurisdiction of the Federal Maritime Commission); Maritrend, Inc. v. Galveston Wharves, 152 F.R.D. 543, 555 (S.D. Tex. 1993). If this Court does not stay the proceeding and make a ruling upholding its order dismissing Greatway's counterclaim for fees with prejudice. Greatway will appeal to the appellate court. Meanwhile, ONE will seek to dismiss Greatway's FMC complaint in the FMC proceeding by the doctrine of *res judicata*. (ONE's FMC Mot. to Stay ¶ 8, attached as Exhibit 3). Greatway will respond to ONE's motion to dismiss and the administrative judge may wait on the appellate court

decision, or if the administrative judge rules against Greatway based on *res judicata*, Greatway will appeal to the corresponding review court. The litigations on both ends can be dragged on for at least a few years. On the other hand, if the Court stays the proceeding and lets FMC adjudicate Greatway's Shipping Act violation complaint against ONE on the merits, the case can be adjudicated or settled faster.

Second, Greatway should not be denied the opportunity to present this Court with the answer to the question "is it an unfair practice under the Shipping Act to sue a non-merchant agent of a disclosed party, for damages arising under a contract of affreightment to which it is not a party?" Not only will the FMC administrative law judge's interpretation of how the Shipping Act applies to vessel operators such as the Plaintiff and its ruling as to Greatway's fee eligibility affect the instant case, it is likely to instruct this Court on how to proceed in similar cases in the future. An FMC ruling on the issue, which falls within the agency's special competence, should be afforded substantial deference in this Court's subsequent analysis of the same legal question. Gentry v. Cellco P'Ship, No. CV 05-7888 GAF (VBKx), 2006 U.S. Dist. LEXIS 97876, at *20 (C.D. Cal. 2006).

Third, success in its FMC complaint would render ONE's motion to dismiss Greatway's counterclaims moot. Greatway seeks this Court's reconsideration of its dismissal of Greatway's counterclaims with prejudice to unequivocally preserve Greatway's right to attorney's fees and costs in the related matter before the FMC. Thus, if Greatway prevails in the proceedings before the FMC, this Court will not be required to analyze and issue a decision on whether Greatway's counterclaims should be dismissed with prejudice. This would save the Court's time and resources.

B. HARDSHIP TO GREATWAY IF THE STAY IS DENIED

If this Court denies the stay of proceedings and makes a ruling upholding its order dismissing Greatway's counterclaim for fees with prejudice, Greatway will be forced to fight two lengthy litigations. Unlike ONE, who is a multinational corporation with billions of dollars revenue, Greatway is a small business. Litigation in both federal court and federal agency will cause significant financial hardship to Greatway.

C. NO POTENTIAL PREJUDICE TO PLAINTIFF

In contrast to the drain on resources and time that this Court would expend to reconsider ONE's motion to dismiss, Plaintiff ONE will not suffer any harm from a stay. ONE moved to voluntarily dismiss Greatway from the instant case, and Greatway's motion for reconsideration does not extend to its dismissal from this lawsuit. A stay on the decision of ONE's motion to dismiss Greatway's counterclaims will not harm ONE, but may significantly harm Greatway.

IV. CONCLUSION

For all of the foregoing reasons, Defendant Greatway Logistics Group, LLC respectfully requests that this Honorable Court enter an order to stay further action in this matter, including judgment on ONE's motion to dismiss Greatway's counterclaims, pending resolution of Greatway's complaint before the FMC.

Dated: June 30, 2021

Respectfully submitted,

THE MOONEY LAW FIRM, LLC

/s/ Shanshan Liang

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CERTIFICATE OF CONFERENCE

Pursuant to Local Rule 7.1(d), I HEREBY CERTIFY that counsel for the movant has conferred with Andy Nash, counsel for the non-movant, who is opposed to the filing of this motion.

/s/ Shanshan Liang

Shanshan Liang

THE MOONEY LAW FIRM, LLC

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that a true and correct copy of the foregoing was served by CM/ECF on June 30, 2021, on all counsel of record.

/s/ Shanshan Liang

Shanshan Liang

THE MOONEY LAW FIRM, LLC